

deposits base of ICICI Bank.

What is fuelling this? Surprisingly, it's not higher interest rates on deposits or an aggressive branch expansion spree. Instead, ICICI Bank's edge lies in its unique strategy. "We don't consider CASA growth in isolation. Instead, we prioritise enhancing services for our customers, each with their unique needs. Our goal is to earn and maintain their trust, ensuring they choose to stay with us, whether through CASA or FDs," reasons Sandeep Batra, Executive Director of ICICI Bank.

Bakhshi and his team consistently emphasise in town halls, emails, quarterly results calls, and every interaction with employees the importance of the risk framework, philosophical

tions," Bakhshi said in a recent call with investors.

HIRING RIGHT

The bank places a strong emphasis on employees serving customers with humility, reflecting the values of brand ICICI. It tries to reinforce this culture by hiring the right talent, providing top-notch training, and nurturing its workforce—a strategy that continues to attract and retain customers in an increasingly competitive market. The result: With a workforce of more than 140,000, ICICI Bank is reaping significant productivity gains, boasting the highest profit per employee at ₹30 lakh. Simultaneously, ongoing digitisation efforts on the back end have driven substantial cost efficiencies, resulting

known as Customer 360°, encourages employees to take up new roles and not restrict themselves to specific areas.

For career and skill development, the bank offers employees opportunities to explore diverse roles and functions to give them a chance to develop expertise in different domains. "Our HR policies and compensation structure are built on the belief that collective efforts make a difference, not individual actions. We continuously reinforce this principle within our bank," says Batra.

When the bank adopted this approach in 2019, under Bakhshi's leadership, there were apprehensions among investors and stakeholders about increased attrition.

The bank's attrition rate is 24.5% as of March 2024. "Major banks, including ICICI Bank, saw a surge in attrition rates in FY23, but the trend moderated in FY24. Attrition is usually higher in the case of junior/entry-level employees. In FY23, the bank saw a higher attrition as it focussed on increasing its presence and expanding via branch expansion. The branch expansion and other efforts to increase productivity led to lesser focus towards employee growth and welfare measures," says Shweta Upadhyay, Research Analyst at financial services firm Asit C Mehta Investment Intermediates Ltd.

TOP 5 LARGE INDIAN BANKS

RANK	BANKS	TOTAL ASSETS*	NET NPA (%)	COST TO INCOME RATIO	ROCE (%)	CAPITAL ADEQUACY (%)
1	ICICI Bank	18.7	0.45	0.40	18.6	16.3
2	Axis Bank	14.8	0.34	0.49	18	16.6
3	Kotak Mahindra Bank	6	0.34	0.46	15.3	20.6
4	Bank of Baroda	15.9	0.68	0.48	16.9	16.3
5	Indian Bank	7.9	0.43	0.46	15.2	16.4

*IN ₹ LAKH CRORE; ROCE IS RETURN ON CAPITAL EMPLOYED; DATA FOR FY24

SOURCE BT-KPMG SURVEY OF INDIA'S BEST BANKS AND NBFCs 2023-24

framework, trust framework, customer framework, and product framework—principles that are considered sacrosanct and non-negotiable at the bank. "The principles of 'Return of Capital,' 'Fair to Customer, Fair to Bank,' and 'One Bank, One Team' will continue to guide our opera-

in the lowest cost-to-income ratio at 0.4%.

The higher productivity is the direct result of the 'One Bank, One Team' strategy, the management feels. This approach requires every employee to take the whole bank to the customer. The bank's 'customer-oriented' approach,

MAKE IT SIMPLE

A lot of effort has been put into decongesting processes and simplifying products in a sector that could at times appear to thrive on arcana. "We have been a bank for many years, and we have emphasised the importance of delivery throughout this time. This includes both our processes and technology. The key is to simplify both, ensuring that